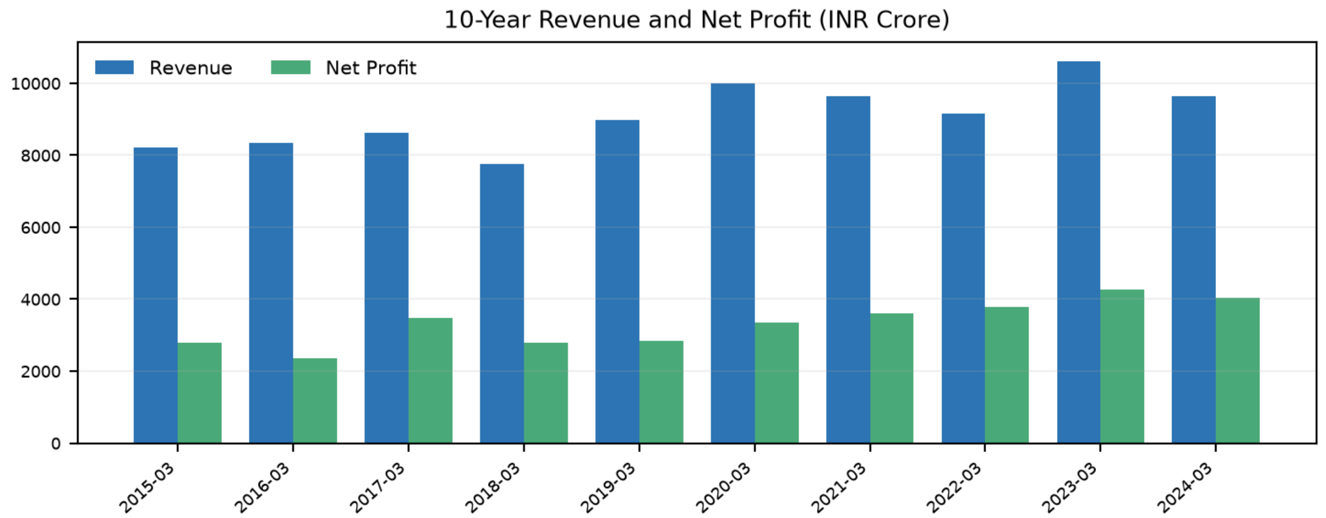
NHPC Ltd

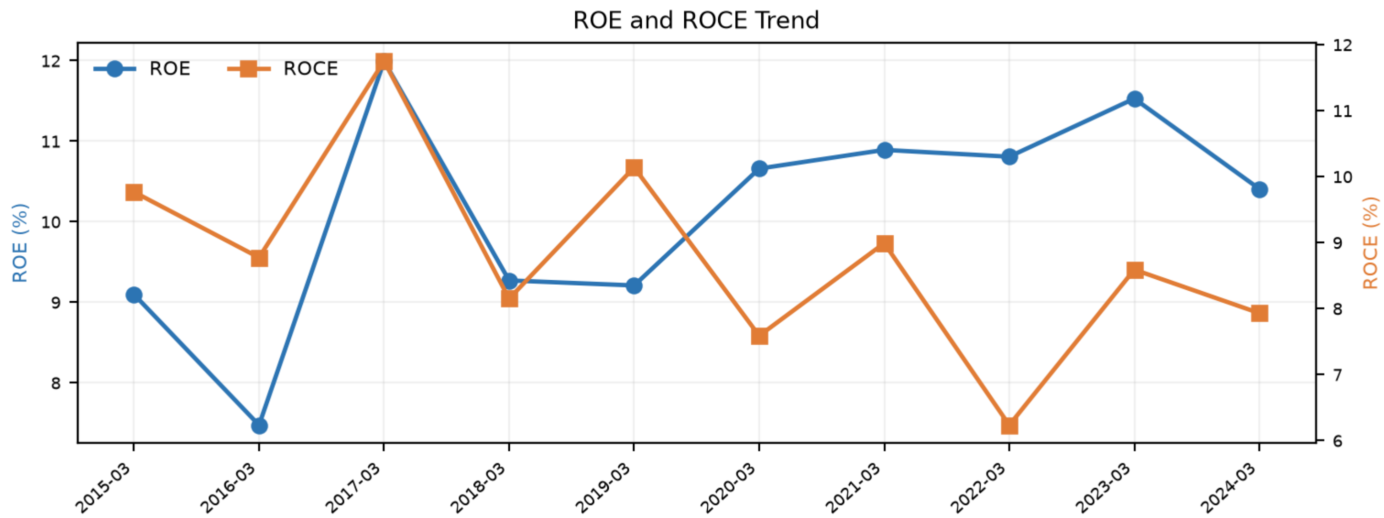
NHPC | Latest fiscal period 2024-03

46.0
HEALTH · Weak

ROE	ROCE	OPM
10.4%	**7.9%**	**49.9%**

DEBT / EQUITY	REVENUE CAGR 5Y	P/E
0.8x	**1.4%**	**71.2x**

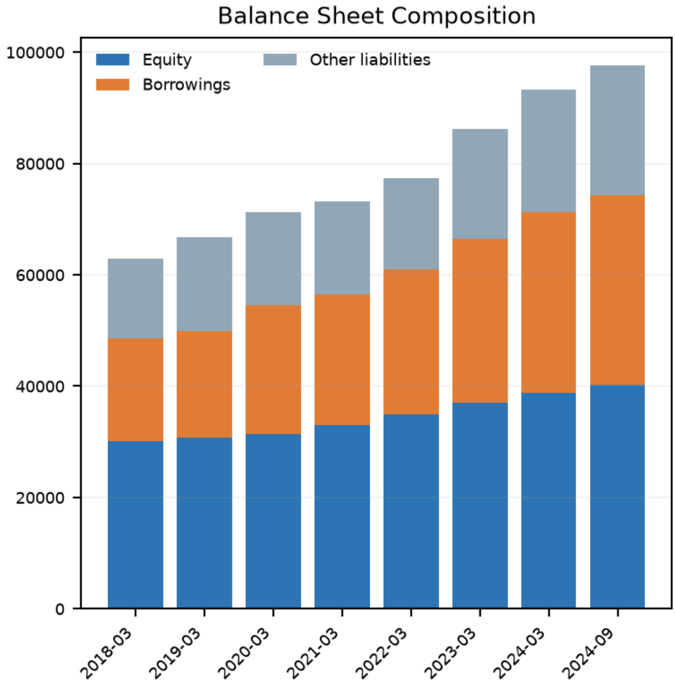


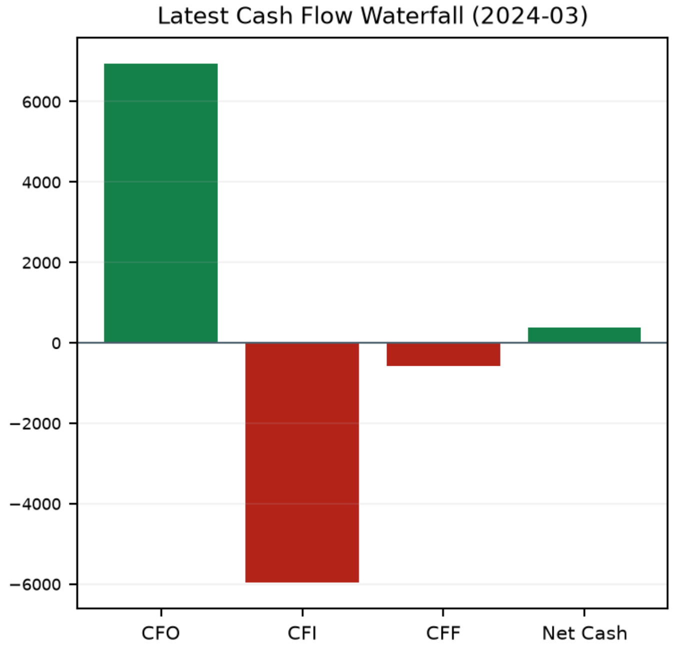


NHPC Ltd

NHPC | Cash Flow · Balance Sheet · Signals

46.0
HEALTH · Weak





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION · SELF FUNDED REINVESTMENT